

expired. Claimant argued for excusable neglect because he was unsophisticated in legal matters and thought his only remedy was workers' compensation. He also argued that he was hospitalized three times following the accident and spent the remainder of his recuperation period at home, unable to attend to his business affairs. The court found the facts did not show excusable neglect. (*Id.* at 7.)

Here Plaintiff thought her injuries would heal with physical therapy and in that event, she had not considered legal action. It was only when Plaintiff learned that she required more extensive treatment that she looked into taking legal action. In *Harrison* the claimant thought he was limited to workers' compensation, which shows that he was considering legal options for compensation, but mistakenly thought those options were limited. Here, by contrast, Plaintiff opted to wait and see if she would heal without needing extensive medical care and thus, she did not think she would need compensation at the time of her injury. Plaintiff's decision to try physical therapy before considering legal options was reasonably prudent.

The Court finds that Plaintiff's failure to timely submit a government claim was the result of mistake or excusable neglect because Plaintiff did not realize that she should have taken legal action to preserve her rights even if she hoped to heal with physical therapy. The City has not shown any prejudice from the failure to timely submit a government claim. Therefore, the petition from relief from timely filing a government claim is granted.

12. 9:00 AM CASE NUMBER: C25-02532
CASE NAME: ESTATE OF HENRY M. SIEGEL VS. JENNIFER SIEGEL
HEARING ON PETITION IN RE: PETITION TO ENFORCE SETTLEMENT
FILED BY:

TENTATIVE RULING:

The Plaintiff's unopposed Petition to Enforce Settlement is **denied** without prejudice.

Fundamentally, there is no proof that defendant was ever served with a copy of the Summons and Petition in this matter. The court has no personal jurisdiction over the defendant at this time.

In addition, Plaintiff has neglected to show proof of service of a notice of motion, the motion itself, and the papers on which the petition is based, on the defendant. Once the defendant is properly before the court, the court urges Plaintiff to take note of the requirements for the form of a motion contained in CCP § 1010.

13. 9:00 AM CASE NUMBER: MSC19-01794
CASE NAME: MURPHY VS LU
HEARING ON SUMMARY MOTION ON 2ND AMENDED CROSS-COMPLAINT
FILED BY: WEE, BILLY

TENTATIVE RULING:

Before the Court is Cross-Defendants Billy Wee, Eileen Wee, and Wee Yoga, LLC's Motion for Summary Judgment or, in the alternative, Summary Adjudication on Cross-Complainant Jennifer Lu's Second Amended Cross-Complaint.

Cross-Defendants Billy Wee, Eileen Wee, and Wee Yoga, LLC may be collectively referred to as “Cross-Defendants” herein. Ms. Lu may be referred to as “Cross-Complainant” herein.

Cross-Defendants’ unopposed Request Judicial Notice is **granted**. (Cal. Evid. Code § 452 (d).)

Initial Considerations

Electronic Bookmarks

The Opposition includes the declaration of Jennifer Lu which includes over 200 pages of exhibits. The Declaration references one exhibit – Exhibit A. The only exhibit attached to the declaration is labeled as Exhibit I. The document also includes over two hundred links to each individual page of the attachments. None of the links provide any information as to what it is linking to, instead only being labeled as “IMG_[number].” “[E]lectronic exhibits **must include** electronic bookmarks with links to the first page of each exhibit and with bookmark titles that identify the exhibit number or letter and briefly describe the exhibit.” (Cal. R. Ct. 3.1110 (f)(4) emphasis added.)

The Declaration fails to conform to Rule 3.1110. Counsel is reminded to comply with the Rules of Court when submitted papers to the Court.

Separate Statement

The separate statement “must state in numerical sequence the undisputed material facts....” (Cal. R. Ct. 3.1350 (d)(3).) Cross-Complainant’s separate statement fails to number its purported material facts, making it difficult for the Court to reference which material facts are being discussed at any given time. The Court will reference the UMFs by number, even though they are not numbered in the Separate Statement. The Parties will need to do their own work to correlate the reference to the correct material fact.

Opposition Separate Statement

To begin with, the Opposition Separate Statement must set out the material fact of the moving party “below which must be set out the evidence said by the moving party to establish that fact, complete with the moving party’s references to exhibits.” (Cal. R. Ct. 3.1350 (f)(1).) Cross-Complainant’s Opposition Separate Statement sets forth moving party’s statement of fact but fails to set forth the evidence in support “complete with the moving party’s references to exhibits.” This failure to include that crucial information made the Court’s work more difficult by requiring it to refer to two documents to determine what evidence was supporting moving party’s statements.

In Opposition, Cross-Defendant filed not only a Response to Cross-Defendants’ Separate Statement but also another document identified as her own Separate Statement of Disputed Facts. California Rules of Court, Rule 3.1350 (f)(3) makes clear that if an opposing party contends that additional material facts are pertinent to the disposition of the motion, “those facts must be set forth in the separate statement,” *i.e.* in the separate statement in opposition to the motion. In other words, they should be contained in a single document, not in a distinct filing.

In addition, the Separate Statement in Opposition to Motion must be in the two-column format specified in the Rule. The left side of the document must include, in numerical sequence, the material

fact stated first with the evidence that establishes that fact following. The right side of the document is left blank to allow the other party to respond. The Rule provides an example of the format:

Supporting statement:

ISSUE 1—THE FIRST CAUSE OF ACTION FOR NEGLIGENCE IS BARRED BECAUSE PLAINTIFF EXPRESSLY ASSUMED THE RISK OF INJURY

Moving Party's Undisputed Material Facts and Supporting Evidence: Opposing Party's Response and Supporting Evidence:

1. Plaintiff was injured while mountain climbing on a trip with Any Company USA. Plaintiff's deposition, 12:3-4.
2. Before leaving on the mountain climbing trip, plaintiff signed a waiver of liability for acts of negligence. Smith declaration, 5:4-5; waiver of liability, Ex. A to Smith declaration.

Opposing statement:

Cross-Defendant's Separate Statement fails to comply with this Rule. Instead, the Separate Statement is a single list of purported facts – without space for a response. Many of the facts also appear to include the evidence in support in the middle of the purported fact – instead of at the end as required by the Rule. The purported facts also include arguments related to the purported fact – which is inappropriate in a separate statement.

Counsel is reminded to comply with all applicable Rules of Court. The Court recognizes and appreciates Cross-Defendants' counsel's compliance with the above rules.

Factual and Procedural Background

Plaintiff/Cross-Defendant Michael Murphy and Defendant/Cross-Complainant Jennifer "Jenny" Ying Lin Lu were in a long-term relationship and engaged to be married. Sometime in 2017, they decided to end their relationship. During the break-up, they entered into an Agreement ("Separation Agreement") related to Plaintiff Murphy's "desire[] to provide a vehicle for Lu to have the opportunity to become financially independent." (Keledjian Decl. Ex. B.)

The Separation Agreement noted that Mr. Murphy (or an entity owned and controlled by him) was the 50% owner of Bikram Yoga Studio in San Ramon (the "Studio"). (*Ibid.*) Bikram San Ramon LLC, which was owned by Billy Wee, owned the other 50% of the Studio. (*Ibid.*) Mr. Murphy had a right to later acquire the other 50% ownership in the Studio. (*Ibid.*)

The Separation Agreement indicated that Ms. Lu desired to "learn the operation of Studio and eventually become the manager of Studio." (*Ibid.*) If Ms. Lu was able to "learn the operation of the Studio and to have it operate at a profit then Murphy [would] give her an ownership interest in the Studio..." (*Ibid.*)

Accordingly, per the Separation Agreement, Ms. Lu began working at the Studio to learn about its operations and how to run such a business. She began working as a manager of the Studio in approximately September 2017. (UMF 6; Lu Depo at 11:20-23.) Mr. and Mrs. Wee confirm that Ms. Lu started "training" at the Yoga Studio in mid to late 2017. (Wee Decls. ¶ 9.)

As Ms. Lu describes it, from approximately September 2017 to May or June 2018 she worked full-time at the Studio. (Lu Decl. ¶ 3.) She regularly worked at least eight hours per day, five days per week. (*Ibid.*) She also did additional hours on weekend as needed. (*Ibid.*) She contends that she "performed core managerial and operational duties essential to the Studio's business, including opening and

closing the Studio, managing daily operations, scheduling classes and instructors, supervising staff, handling customer memberships and issues, processing payments, managing supplies, and addressing operational problems.” (Lu Decl. ¶ 4.)

Per the Separation Agreement, Mr. Murphy agreed to pay Lu \$6,000 per month “in order to assist her to pay her current living expenses while she is learning the business of Studio.” (Keledjian Decl. Ex. B.) The Separation Agreement went on to state:

The parties intend that said amount be paid by Murphy individually and not by Studio so that Lu’s training will not be at the expense of Studio. Lu shall not be entitled to receive any compensation from Studio except as is hereinbelow provided. (*Ibid.*)

It is undisputed that during the time Ms. Lu was training to be a manager at the Studio she did not receive any payments from the Studio. (UMF 14.) Instead, it appears that the \$6,000 per month that she received was paid by Mr. Murphy. (Lu Decl. ¶ 6.) The actual checks were issued by M&M Automotive Volkswagen Broadway. (Lu Depo. at 41:5-14.) Ms. Lu also never received a W2 Wage and Tax Statement or Form 1099 from the Studio. (UMF 17; Lu Decl. ¶¶ 9-10.)

Mr. Murphy emailed Billy Wee on May 8, 2018, with a cc including Ms. Lu, indicating that Ms. Lu was “no longer affiliated, nor employed” by him. (UMF 20.) It is undisputed that Ms. Lu’s last day working at/for the Studio was May 8, 2018. (UMF 20; Keledjian Decl. Ex. D: Lu RFA Response No. 9.)

Thereafter, on August 30, 2019, Mr. Murphy filed a Complaint against Ms. Lu for breach of contract, conversion, and unjust enrichment. Ms. Lu filed a Cross-Complaint on October 31, 2019, alleging eight causes of action against Mr. Murphy. On June 15, 2021, Ms. Lu filed a First Amended Cross-Complaint which for the first time included Cross-Defendants Bill Wee and the Studio. The operative Second Amended Cross-Complaint was filed on February 2, 2023. The SAC added Eileen Wee as a Cross-Defendant and clarified the name of the corporate defendant as Wee Yoga LLC which was doing business as Bikram Yoga Studio.

Standard

Summary judgment is proper if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to a judgment as a matter of law. (Code Civ. Proc. § 437c(c).) A moving defendant satisfies the initial burden of showing that a cause of action has no merit if he shows that one or more elements of the cause of action, even if not separately pleaded, cannot be established, or that there is a complete defense to the cause of action. (Code Civ. Proc., § 437c (p)(2).)

Once the defendant meets that burden, the burden shifts to the plaintiff to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto. (*Ibid.*) The plaintiff then has the burden of demonstrating that triable issues of material fact exist. (*Ibid.*)

A party may move for summary adjudication when they contend that one or more causes of action within an action has no merit. (CCP §437c(f)(1).) A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty. (*Ibid.*) In all procedural respects, a motion for summary adjudication proceeds as a motion for summary judgment. (CCP §437c(f)(2).)

Material facts are those that relate to the issues in the case as framed by the pleadings. (*Serri v. Santa Clara University* (2014) 226 Cal.App.4th 830, 860, citations omitted.) “In ruling on the motion, the court must consider all of the evidence and all of the inferences reasonably drawn therefrom, and must view such evidence and such inferences, in the light most favorable to the opposing party.” (*Aguilar, supra*, 25 Cal.4th at 843 (internal citations and quotations omitted); see also, Code of Civ. Proc. §437c(c).)

Analysis

The operative SAC alleges four causes of action against the Moving Cross-Defendants. Causes of action nine, ten, and eleven assert various Labor Code violations, and cause of action twelve asserts a violation of Business and Professions Code section 17200 et seq. (UCL). The UCL claim is based on the Labor Code violations.

Labor Code Violations

The Moving Cross-Defendants move for summary judgment/adjudication as to each of the Labor Code causes of action based on the running of the applicable statutes of limitation. (See Notice.) At least as to these causes of action, Cross-Defendants do not argue that Ms. Lu was not an employee of the Studio and therefor not entitled to wages in the first instance. As such, for purposes of these claims the Court will presume she was an employee and entitled to wages as such. The Court will only address Ms. Lu’s potential status as an employee with relation to the UCL claim below.

In accordance with California Code of Civil Procedure § 338 (a), suit must be commenced within three years when an action “upon a liability created by statute, other than a penalty or forfeiture,” is asserted. (Cal. Code Civ. Proc. § 338 (a).) Labor Code violations for statutory penalties (such as Ms. Lu’s claims under Labor Code section 226) are subject to a one-year statute of limitations. (Cal. Code Civ. Proc. § 340 (a).) Thus, all of Ms. Lu’s Labor Code claims that are not seeking statutory penalties (causes of action nine, ten and eleven) are subject to a three-year statute of limitations.

As noted above, Ms. Lu’s last day working for the Studio was May 8, 2018. As such, her claims for unpaid wages accrued on or before that date. “A cause of action accrues at the moment when the party alleging injury is entitled to ‘begin and prosecute an action thereon.’” (*Pollock v. Tri-Modal Distribution Services, Inc.* (2021) 11 Cal.5th 918, 930-31.) “Generally, the right to bring and prosecute an action arises immediately upon the commission of the wrong claimed....” (*City of Pasadena v. Superior Court* (2017) 12 Cal.App.5th 1340, 1348.) “Stated differently, a ‘cause of action accrues ‘when [it] is complete with all of its elements’ – those elements being wrongdoing, harm, and causation.’” (*Ibid.* quoting *Pooshs v. Philip Morris USA, Inc.* (2011) 51 Cal.4th 788, 797.)

The Studio’s alleged failures to pay Ms. Lu all occurred prior to her last day. In addition, her claim for failure to timely pay her wages upon her termination accrued on May 8, 2018. Under Labor Code § 201, if an employee is discharged, “the wages earned and unpaid at the time of discharge are due and payable immediately.” (Cal. Labor Code § 201 (a).)

Based on the above, Ms. Lu’s Labor Code claims accrued as of May 8, 2018, at the latest. Given the three-year statute of limitations, Ms. Lu had until May 8, 2021, to file her claims related thereto. Ms.

Lu first asserted her Labor Code claims against the Cross-Defendants in her FAC filed on June 15, 2021. Thus, on their face, Ms. Lu's Labor Code claims are barred by the statute of limitations.

Delayed Discovery

Ms. Lu argues that the statute of limitations was tolled based on the 'delayed discovery' doctrine. "The [delayed] discovery rule provides that the accrual date of a cause of action is delayed until the plaintiff is aware of her injury and its negligent cause." (*Jolly v. Eli Lilly & Co.* (1988) 44 Cal.3d 1103, 1109.) "A plaintiff is held to her actual knowledge as well as knowledge that could reasonably be discovered through investigation of sources open to her." (*Ibid.*)

"Under the discovery rule, the statute of limitations begins to run when the plaintiff suspects or should suspect that her injury was caused by wrongdoing, that someone has done something wrong to her." (*Id.* at 1110.) The limitations period "begins once the plaintiff 'has notice or information or circumstances to put a reasonable person *on inquiry*....'" (*Ibid.*) "Once the plaintiff has a suspicion of wrongdoing, and therefore an incentive to sue, she must decide whether to file suit or sit on her rights. So long as a suspicion exists, it is clear that the plaintiff must go find the facts; she cannot wait for the facts to find her." (*Ibid.*)

Ms. Lu argues that she was repeatedly told that her \$6,000 monthly payment constituted her 'salary' for her work at the Studio and that the Studio would not issue formal payroll checks because Murphy was personally funding her compensation as part of their Separation Agreement. (Opp. at 10:17-21.) Instead, Ms. Lu contends she only learned that the \$6,000 monthly payments she was receiving were not wages paid by the Studio but rather personal payments from Mr. Murphy in 2021 when Mr. Murphy testified to this effect. (Opp. at 11:5-17.)

The opposition does not cite any evidence to support the above assertions. (See citations) In particular, there is no evidence that Ms. Lu was ever told that she would not be given 'formal payroll checks' from the Studio.

Cross-Defendants, however, present evidence that Ms. Lu admitted that she knew she never received a paycheck from the Studio, never asked for a paycheck, and never received any necessary tax-documents from the Studio. (Keledjian Decl. Exs. D, F at Resp. 1-2, 23.) Ms. Lu even testified at her deposition that she knew the Studio was not paying her, but instead Mr. Murphy was paying her through a separate entity.

Q. Okay. So you knew that the studio was not going to be paying you anything, correct?

A. Yes. Because at that time involve Billy and he – he – I don't know. He told me he would pay me. That's why he paid (unintelligible).

Q. That's why who paid?

A. (Unintelligible) Dealership in Oakland pay me.

Q. Okay. So you're referring to M&M Automotive Volkswagen Broadway?

A. That's where the check came from.

The above shows that Ms. Lu was aware that she was not being paid by the Studio. It also makes clear that the checks she received during the relevant time came from a separate entity, *i.e.* Volkswagen of Oakland. (See Keledjian Decl. Ex. D, RFA Response 3.)

In other words, during the relevant time Ms. Lu knowingly never received a paycheck from the Studio for the work she alleges she performed for it. Despite this, Ms. Lu never asked for a paycheck or inquired into why she was not receiving a paycheck for her work – in addition to the \$6,000 per month she alleges was a gift from Mr. Murphy.

Ms. Lu started ‘working’ at the Studio in September 2017 and was ‘terminated’ on May 18, 2018. At no time during that nine-month period did she ever receive a paycheck from the Studio. Any reasonable person that was working for a company and never received a paycheck from them would be on notice that something was amiss. Ms. Lu was on inquiry notice at least as early as October 2017 that she was not being properly compensated by the Studio. Ms. Lu’s claims that she did not learn that she was not being paid by the Studio until the deposition of Mr. Wee is not reasonable.

Based on the above, Ms. Lu has failed to show that the delayed discovery rule applies in this matter.

Continuing Violation Doctrine

Ms. Lu appears to argue that the Studio’s labor code violations “from ongoing misclassification, failure to pay wages, and failure to provide wage statements constitute violations, extending the limitations period until the last act – in this case until Lu’s termination in May/June 2018,” citing *Richards v. CH2M Hill, Inc.* (2001) 26 Cal.4th 798. (Opp. at 11:25-12:1.) Notably, Ms. Lu does not provide a pin cite to any particular part of *Richards*, nor any discussion of what the ‘continuing violation doctrine’ is or how it applies.

“The continuing violation doctrine aggregates a series of wrongs or injuries for purposes of the statute of limitations, treating the limitations period as accruing for all of them upon commission or sufferance of the last of them.” (*Aryeh v. Canon Business Solutions, Inc.* (2013) 55 Cal.4th 1185, 1192.) The doctrine serves a few equitable purposes. (*Ibid.*) “Some injuries are the product of a series of small harms, any one of which may not be actionable on its own.” (*Ibid.*) “Those injured in such a fashion should not be handicapped by the inability to identify with certainty when harm has occurred or has risen to a level sufficient to warrant action.” (*Ibid.*) The doctrine does not, however, apply to discrete, independently actionable wrongs. (*Ibid.*; see also *AMTRAK v. Morgan* (2002) 536 U.S. 101, 113 [holding that “discrete discriminatory acts are not actionable if time barred, even when they are related to acts alleged in timely filed charges.”].)

Here, each time Ms. Lu was not issued a paycheck is a discrete, actionable wrong. As such, the ‘continuing violation doctrine’ does not apply.

Even if the doctrine did apply, Ms. Lu concedes that the Studio’s actions extend the limitations period ‘until the last act’ – *i.e.* Lu’s termination on May 18, 2018. As discussed above, given the three-year statute of limitation Ms. Lu would have needed to assert her Labor Code claims by May 18, 2021, based on that date. Ms. Lu failed to do so, initially asserting those claims in her FACC which was filed on June 15, 2021 – almost one month too late.

Relation Back

Ms. Lu argues: “Even if the Court declines to apply delayed discovery or the continuing violation doctrine, Lu’s labor claims relate back to her original Cross-Complaint filed in 2019, because all claims arise out of the same core facts....” (Opp. at 12:10-12.) Ms. Lu provides no legal citation to support her argument.

Every memorandum of points and authorities “must contain a statement of facts, *a concise statement of the law*, evidence and arguments relied on, and a discussion of the statutes, cases, and textbooks cited in support of the position advanced.” (Cal. R. Ct. 3.1113 (b).) Fairness dictates that all legal arguments be presented in the memorandum of points and authorities. (*Nationwide Ins. Co. of America v. Tipton* (2023) 91 Cal.App.5th 1355, 1365.) Rule 3.1113 prevents the “trial court from being cast as a tacit advocate for the moving party’s theories by freeing it from any obligation to comb the record and the law for factual and legal support that a party has failed to identify or provide.” (*Quantum Cooking Concepts, Inc. v. LV Associates, Inc.* (2011) 197 Cal.App.4th 927, 934.)

It is not the Court’s position to supply the legal support for an argument raised by a party without citation to any law in support. “A trial court may decline to consider an argument that does not comply with rule 3.1113 of the California Rules of Court.” (*Nationwide Ins.*, *supra*, 91 Cal.App.5th at 1365.) On this basis alone the Court can disregard Plaintiff’s argument. In addition, Plaintiff’s argument fails substantively.

“The general rule is that an amended complaint that adds a new defendant does not relate back to the date of filing the original complaint and the statute of limitations is applied as of the date the amended complaint is filed, not the date the original complaint is filed.” (*Woo v. Superior Court* (1999) 75 Cal.App.4th 169, 176 numerous citations omitted.) “A recognized exception to the general rule is the substitution under section 474 of a new defendant for a fictitious Doe defendant named in the original complaint as to whom a cause of action was stated in the original complaint.” (*Ibid.*) “If the requirements of section 474 are satisfied, the amended complaint substituting a new defendant for a fictitious Doe defendant filed after the statute of limitations has expired is deemed filed as of the date the original complaint was filed.” (*Ibid.*)

Ms. Lu filed her initial Cross-Complaint on October 31, 2019. On June 15, 2021, Ms. Lu filed a First Amended Cross-Complaint. Ms. Lu did not file a Doe Amendment under Code of Civil Procedure section 474 to substitute the Studio as a Doe Defendant. As such, the relation back doctrine does not apply.

UCL Claim

The “UCL has a four-year statute of limitations, which applies even if the borrowed statute has a shorter limitations statute.” (*Blanks v. Seyfarth Shaw LLP* (2009) 171 Cal.App.4th 336, 364.) “Thus, the general rule is that a UCL cause of action borrows the substantive portion of the borrowed statute to prove the ‘unlawful’ prong of that statute, but not the limitations procedural part of the borrowed statute.” (*Ibid.*)

The Court’s above discussion of the alleged Labor Code violation presumed that Ms. Lu was an employee – since the only issue raised by Cross-Defendants with respect to those claims was related

to the statute of limitations. Under the above analysis, Ms. Lu's Labor Code claims arose at the latest as of May 8, 2018 – her last day of work. Under the UCL, that means she would be required to have asserted her claims by May 8, 2021. The FACC, which first asserted the claims against moving Cross-Defendants, was filed on June 15, 2021. Thus, if there are valid Labor Code violations, while they cannot be separately asserted given the statute of limitations issues, they can be used to maintain a UCL claim.

Was Ms. Lu an Employee?

Cross-Defendants argue that Ms. Lu was a part-owner of the Studio and not an employee. They cite the Separation Agreement which states that Mr. Murphy would give Ms. Lu “the sum of \$6,000 per month in order to assist her to pay her current living expense while she is learning the business of Studio.” It goes on to state that that amount is to be paid by Mr. Murphy individually and that Ms. “Lu shall not be entitled to receive any compensation from Studio except as is hereinbelow provided.” During the relevant time, Ms. Lu never requested a paycheck from the Studio, nor any tax documents related to being employed by the Studio. Cross-Defendants cite to instances where Ms. Lu referred to herself as an ‘owner’ or ‘co-owner’ of the Studio and performed task commensurate with being an owner and not an employee. (Motion at 9:16-20.)

The Separate Agreement, however, makes clear that “Murphy or an entity owned and controlled by Murphy owns 50% of” the Studio pursuant to an agreement with Billy Wee, who, through another entity, owned the other 50%. (Agreement at C.) Mr. Murphy had a right to acquire the remaining 50% interest in the Studio over time pursuant to the agreement with Mr. Wee. (*Id.* at D.) There is no mention anywhere that Ms. Lu was an owner of the Studio when the parties entered into the agreement.

Instead, the Agreement makes clear that the intent of the parties was that Ms. Lu would **potentially** become an owner at some point in the future. The Agreement goes on to state:

“The parties intend that if Lu is able to learn the operation of the Studio and to have it operate at a profit then Murphy **will give to her** an ownership interest in the Studio as is provided herein below.” (*Id.* at H.)

The Separate Agreement indicates that if Ms. Lu “is able to achieve the levels of income and profit described above by June 30, 2018 then Murphy **shall transfer** to her a 50% ownership in the Studio at no cost to her.” (*Id.* at ¶ 5.)

These provisions make clear that Ms. Lu did not have any ownership interest in the Studio at the beginning of the arrangement. Instead, it was agreed that Ms. Lu would “commence working at Studio and to perform such duties at Studio as the current operators assign to her.” (*Id.* at ¶ 1.) In addition, UMF 7 specifically states that Ms. Lu believed that she was training at the Studio “with the expectation **to be an owner in the future**, as set forth in the Agreement.” In her response to that UMF, Ms. Lu argues that “[e]xpectation of future ownership does not eliminate wage obligations for present labor.”

In opposition, Ms. Lu presents her own declaration indicating that she worked at least eight hours a day, five days a week during the relevant time – and occasionally on weekends as needed. She

performed “core managerial and operational duties essential to the Studio’s business...” She also communicated regularly with the Wee Cross-Defendants regarding running the Studio. None of this is disputed.

Even if Ms. Lu could be considered an ‘owner’ of the Studio during the relevant time, Cross-Defendants present no legal authority indicating that such a designation would mean that such an individual is still not entitled to being paid a wage for their work for the Studio. Cross-Defendants presume that an owner cannot be classified as an ‘employee’ of their own company but cite no legal authority to support such a claim.

It also appears that Cross-Defendants contend that the Separation Agreement somehow waives Ms. Lu’s rights to receive wages from the Studio for her work there. They contend that Mr. Murphy agreed to support her while she learned how to operate the Studio. Cross-Defendants cite no law to support a claim that a party can ‘waive’ their rights to be paid a wage under the Labor Code for work performed for the employer via a separate agreement with a third-party to separately provide them with a voluntary monthly payment.

Based on the above, Cross-Defendants have failed to meet their initial burden to show that there are no disputed material facts regarding Ms. Lu’s position at the Studio. The evidence clearly shows that she was not an owner during the relevant times. It is also undisputed that she performed work at/for the Studio. Under the “ABC test,” as adopted by the California Supreme Court in *Dynamex Operations West, Inc. v. Superior Court* (2018) 4 Cal.5th 903, “a worker is presumptively an employee, and the hiring entity bears the burden to show otherwise.” (*Gonzales v. San Gabriel Transit, Inc.* (2019) 40 Cal.App.5th 1131, 1154.)

Additional Arguments

Cross-Defendants also argue that Ms. Lu has failed to show an ‘injury in fact’ to support the UCL claim. To bring an UCL claim, and plaintiff must show that they “have ‘lost money or property’ to have standing to sue.” (*Kwikset Corp. v. Superior Court* (2011) 51 Cal.4th 310, 323.) “The plain import of this is that a plaintiff now must demonstrate some form of economic injury.” (*Ibid.*) “There are innumerable ways in which economic injury from unfair competition can be show.” (*Ibid.*) “A plaintiff may (1) surrender in a transaction more, or acquire in a transaction less, than he or she otherwise would have ... (3) be deprived of money or property to which he or she has a cognizable claim...” (*Ibid.*)

Here, Ms. Lu asserts, and presents evidence, that she worked for the Studio and did not receive any compensation for that work. As such, she was ‘deprived of money to which she has a cognizable claim.’ Not being paid for work performed is “some form of economic injury.” As such, Cross-Defendant has failed to meet its burden to show that there is a disputed material fact related to Ms. Lu’s economic injury.

Cross-Defendants’ argument that the UCL claim is barred under the rationale of *Cel-Tech Communications, Inc. v. Los Angeles Cellular Telephone Co.* (1999) 20 Cal.4th 163 is without merit. In *Cel-Tech*, the Court noted that while the UCL’s “scope is sweeping, it is not unlimited.” (*Id.* at 182.) “When specific legislation provides a ‘safe harbor,’ plaintiff’s may not use the general unfair competition law to assault that harbor.” (*Ibid.*) The alleged conduct at issue in *Cel-Tech* was deemed

to be privileged under Civil Code § 74 (b). As such, the plaintiff could not attempt to make such privileged conduct the basis of a UCL claim.

Here, the basis of the UCL claim is the violation of several sections of the Labor Code. Actions which are explicitly prohibited by the Code. This is the exact opposite of some action which is explicitly deemed privileged.

Cross-Defendant also argues that the UCL claim should be barred based on the doctrine of unclean hands. Initially, unclean hands in an affirmative defense. (*Wilson v. S.L. Rey, Inc.* (1993) 17 Cal.App.4th 234, 244.) In reviewing Mr. Murphy's answer to the SACC, he does not raise the affirmative defense of unclean hands. "The pleadings play a key role in a summary judgment motion and 'set the boundaries of the issues to be resolved at summary judgment.'" (*Jacobs v. Coldwell Banker Residential Brokerage Co.* (2017) 14 Cal.App.5th 438, 444.) If a defendant does not assert a particular affirmative defense in its answer, the court cannot consider it. (*Lopez v. Baca* (2002) 98 Cal.App.4th 1008, 1019; *Jacobs*, supra, 14 Cal.App.5th at 444.)

Even if the affirmative was properly plead, Cross-Defendant's Notice of Motion does not indicate that it is moving based on this affirmative defense. Instead, the Notice of Motion indicates that "Cross-Complainant's Twelfth Cause of Action for unfair business practices fails to state of cause of action." (Notice at ii:12-13.) "A basic tenant of motion practice is that the notice of motion must state the grounds for the order being sought [cites], and the court generally may consider only the grounds stated in the notice of motion." (*Kinda v. Carpenter* (2016) 247 Cal.App.4th 1268, 1277.) "The purpose of the notice requirement 'is to cause the moving party to 'sufficiently define the issues for the information and attention of the adverse party and the court.'" (*Ibid.*) "If summary adjudication is sought ... the specific cause of action, **affirmative defense**, or issues of duty **must be stated specifically in the notice of motion**" (Cal. R. Ct. 3.1350 (b).) Based on the above, Cross-Defendants have waived any arguments based on the affirmative defense of unclean hands.

Based on the above, Cross-Defendants have failed to meet their burden to show that there is no triable issue as to any material fact related to the UCL cause of action.

Conclusion

Cross-Defendants' motion for summary adjudication is **granted** as to the Labor Code violation causes of action 9, 10, and 11. It is **denied** as to the twelfth cause of action for the UCL violation.

Evidentiary Issues

The Court need only rule on those objections to evidence that were material to the disposition of the MSJ/MSA. (See CCP § 437c(q).)

Cross-Complainant's Objections to Evidence:

All written objections must, among other things, "[q]uote or set forth the objectionable statement or material." (Cal. R. Ct. 3.1354 (b)(3).) Cross-Complainant's objections reference particular paragraphs of the declarations, often including multiple paragraphs in a single objection. She then merely

summarizes which portions of those paragraphs she is objecting to – instead of quoting the specific statements to which she objects.

It is “well within” the trial court’s discretion to overrule any objections that fail to meet the requirement under Rule 3.1354 (b)(3) to “quote or set forth the objectionable statement or material” objected to. (*Schmidt v. Citibank* (2018) 28 Cal.App.5th 1109, 1118.) Given the improper objections, the Court overrules all of Cross-Complainant’s objections.

Cross-Defendants’ Objections to Lu Declaration

“Each written objection must be numbered consecutively ...” (Cal. R. Ct. 3.1354 (b).) As with the Separate Statement, Cross-Defendants fail to number their objections, instead just referencing paragraph numbers of the Lu Declaration. Counsel are reminded – again – to comply with the Rules of Court. Also, while Cross-Defendants object to individual paragraphs of the Lu Declaration separately, many of those paragraphs contain multiple sentences and/or references to exhibits. Thus, it is difficult for the Court to determine what specific part of the statement is being objected to. As such, if any portion of the paragraph is proper, the Court will overrule the objection.

Objection 1 : Overruled.

Objection 2: Overruled

Objection 3: Overruled.

Objection 4: Overruled.

Objection 5: Overruled.

Objection 6: Sustained (Cal. Evid. Code § 702, 1200.)

Objection 7: Overruled.

Objection 8: Overruled.

Objection 9: Overruled.

Objection 10: Overruled.

Objection 11: Overruled.

Objection 12: Overruled.

Objection 13: Overruled.

Objection 14: Overruled.

14. 9:00 AM CASE NUMBER: MSC19-02596

CASE NAME: DEBRA WALKER VS. TROY MARTINEZ

***HEARING ON MOTION IN RE: DISMISS FOR FAILURE TO BRING ACTION TO TRIAL**

FILED BY: MARTINEZ, TROY

TENTATIVE RULING:

The hearing is continued on the court’s motion to Friday, February 27, 2026 at 9:00 am in Department 32 for two reasons: lack of proof of service of moving papers on Plaintiff, and late filing of the opposition by Plaintiff. Each side has committed procedural errors.

Code of Civil Procedure § 583.360 provides, “An action shall be dismissed by the court on its own motion or on motion of the defendant, *after notice to the parties*, if the action is not brought to trial within the time prescribed in this article.” (Emphasis added.) Here there is no proof of service on the